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REPORT TO COUNCIL

Date: July 15, 2024

From: Kris Croskery-Hodgins, Municipal Administrator

Re: Review of Investment of Municipal Funds Policy

BACKGROUND/OVERVIEW

Policy No. 2012-01-F, Investment of Municipal Funds, was originally adopted by Council on March 20, 2012.

This policy provides guidance for conformity to statutory requirements under the Municipal Act, 2001 and responsible investment strategies to protect, maintain and increase municipal funds.

This policy is overdue for a review and update.

RESULTS

A review of the policy was completed with the following changes made:

- Requirement of an annual review of the policy by Council during the regular budget process to ensure it is up-to-date and responds to the requirements of the Township.

RECOMMENDATIONS:

Staff recommends the updated policy be brought before Council for adoption by By-Law at the next regular Council meeting.

Respectfully,

Kris Croskery-Hodgins, Municipal Administrator

Township of Nipissing Corporate Policy	Approved by Council:
Policy No.: 2024-01-F	**Investment of Municipal Funds**

PURPOSE:

The purpose of this Policy is to establish procedures and practices for a program designed to maximize the use of idle funds held in accounts.

- The preservation of capital (safety) is paramount, and
- Additional, but subservient goals are to provide cash availability (liquidity) and maximum yield of idle cash.

This policy will be implemented with the aid of the accompanying guidelines through the authority of the Treasurer or designate.

SCOPE:

This policy shall be applied to the investment activities of the Operating, Trust, Reserve and Reserve Funds.

OBJECTIVES:

Conformity to Statutory Requirements – as per Section 418 – 420 of the *Municipal Act* and O.Reg. 438/97 eligible investments may be summarized as securities of Federal, Provincial or Municipal Governments or of banks or of trust companies.

Preservation of Capital – since public funds are at stake, the Municipality should adopt a conservative risk policy.

Maintenance of Liquidity – liquidity should be kept high in order to cope with unplanned events.

Rate of Return Maximization – the maximization of returns from investments must be in accordance with guidelines on safety, liquidity, risk and authority, in order to provide general revenues to the Municipality and reduce amounts otherwise required from taxation by the Municipality.

AUTHORITY:

The Municipal Act, 2011 (S.O. 2001, c.25) provides in Section 418 the legislative authority for the Municipality to invest surplus funds in accordance with certain prescribed rules. Section 419 permits the Municipality to invest money through an agent and Section 420 permits the Municipality to enter into agreements to invest money jointly with other municipalities and prescribed bodies.

STANDARDS OF CARE:

Prudence

Investments shall be made with judgment and care, under circumstances then prevailing, which persons of prudence, discretion and intelligence would exercise in the management of their own affairs, not for speculation, but for investment, considering the probable safety of their capital as well as the probable income to be derived.

Ethics and Conflict of Interest
Investment officers shall refrain from personal business activity that could conflict with proper execution of the investment program or which could impair their ability to make important investment decisions.

Delegation of Authority
Investment decisions are delegated to the Municipal Treasurer as per Section 418(5) of the *Municipal Act, 2001*. No person may engage in an investment transaction except as provided under the terms of this policy.

SAFEKEEPING AND CUSTODY:

All securities shall be held for safekeeping by a financial institution approved by the Municipality. All securities shall be held in the name of the Municipality.

INTERNAL CONTROLS:

The Treasurer shall establish an annual process of independent review by an external auditor. This review will provide internal control by assuring compliance with policies and procedures and with governing legislation.

AUTHORIZED INVESTMENTS:

Investments issued or guaranteed by the following institutions will be permitted by this policy, as deemed eligible by O. Reg. 438/97 or by subsequent amending Ontario Regulations:

1. The Government of Canada, including its agencies.
2. Provincial governments of Canada, including their agencies.
3. A Canadian municipality, school board or local board as defined in the *Municipal Affairs Act* or a conservation authority established under the *Conservation Authorities Act*.
4. Schedule 1 Banks, Minimum Short Term Rating R1(low), Minimum Rating on Long Term Investments AA (low).

The Municipality shall not invest in a security that is expressed or payable in any currency other than Canadian dollars.

Furthermore, to the extent possible, the Municipality shall match its investments with anticipated cash flow requirements. The Municipality will not directly invest in securities maturing in more than ten (10) years from the date of purchase.

REPORTING:

The Treasurer of the Municipality, in accordance with Section 8(1) of O.Reg. 438/97, will submit to Council an annual report on investment activity and returns.

This policy shall be reviewed by Council annually during the regular Budget process.

INVESTMENT PARAMETERS:

Diversification

The Municipality shall diversify its investments to the best of its ability based on the type of funds invested and the cash flow needs of those funds. Diversification may be by type of investment, number of institutions invested in, and lengths of maturity.

Investment Limitations

Government of Canada, incl. Agencies – no limitations.

Province of Ontario, incl. Agencies – no limitations.

Schedule 1 Banks – no limitations.